

In December 1984, Murphy approached Leonard Goldenson, chairman of American Broadcasting Companies, with the idea of merging the two companies. Although initially rebuffed, Murphy contacted Goldenson again in January 1985. The Federal Communications Commission (FCC) had increased the number of television and radio stations that a single company could own from seven to 12, effective in April that year. This time Goldenson agreed. Goldenson, then 79 years old, was concerned about his successor. Although ABC had several potential candidates, none was, in his opinion, ready for leadership. Murphy and Burke were considered the best managers in the media and communications industry. By agreeing to merge with Cap Cities, Goldenson was ensuring that ABC would remain in strong management hands. American Broadcasting Companies entered the negotiating room with high-priced investment bankers. Murphy, who always negotiated his own deals, brought his trusted friend Warren Buffett. Together they worked out the first-ever sale of a television network and the largest media merger in history up to that point.

Capital Cities offered American Broadcasting Companies a total package worth \$121 per ABC share (\$118 in cash per share and one-tenth warrant to purchase Capital Cities worth \$3 per share). The offer was twice the value at which ABC's stock traded the day before the announcement. To finance the \$3.5 billion deal, Capital Cities would borrow \$2.1 billion from a banking consortium, sell overlapping television and radio stations worth approximately \$900 million, and also sell restricted properties that a network was not allowed to own, including cable properties subsequently sold to the Washington Post Company. The last \$500 million came from Buffett. He agreed that Berkshire Hathaway would purchase three million newly issued shares of Cap Cities at a price of \$172.50 per share. Murphy again asked his friend to join the board, and this time Buffett agreed.

Tenet: Simple and Understandable

After serving on the board of the Washington Post Company for more than 10 years, Buffett understood the business of television broadcasting and newspaper and magazine publishing. Buffett's business understanding of television networks grew with Berkshire's own purchase of ABC once in 1978 and again in 1984.